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Blockchain & Crypto-Assets 2026

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Hong Kong SAR, China: Law and Practice & Trends and Developments

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HONG KONG SAR, CHINA

Law and Practice

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1. Overview of Blockchain and Crypto-Assets

1.1 Blockchain

1.1.1 Evolution of Uses of Blockchain

Over the past 12 months, the blockchain ecosystem in Hong Kong has shifted decisively from retail cryptocurrency trading towards institutional-grade infrastructure. The jurisdiction now leads in real-world asset (RWA) tokenisation – encompassing money market funds, green bonds and commercial real estate – while integrating distributed ledger technology (DLT) deeply into interbank and capital market frameworks. Key drivers, per the March 2025 research paper of the Hong Kong Monetary Authority (HKMA), "Distributed Ledger Technology in the Financial Sector: A Study on the Opportunities and Challenges", are programmability and transparency. On-chain representation of traditional assets delivers faster settlement, fractional liquidity and reduced counterparty risk.

The HKMA study specifically notes practical applications such as experimental tokenised deposit solutions for 24/7 fund transfers and deep-tier supply chain financing via stablecoin-based conditional payments. Beyond finance, permissioned DLT networks are now deployed in supply chain logistics and green energy infrastructure to track the real-time operational performance of infrastructure, such as electric vehicle charging stations.

Over the next 12 months, several critical legislative and regulatory issues are poised to impact the use of blockchain. The most significant is the sweeping expansion of the regulatory perimeter under the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (Chapter 615) (AMLO). Following the publication of the "Consultation Conclusions on the Legislative Proposal to Regulate Virtual Asset Advisory Service Providers and Virtual Asset Management Service Providers" on 26 May 2026, comprehensive draft legislation is being introduced to the Legislative Council in 2026.

This legislation will establish formal, mandatory licensing regimes for over-the-counter (OTC) virtual asset (VA) dealing, custody, advisory and management services, effectively bringing the entire digital asset value chain under the direct supervision of the Securities and Futures Commission (SFC). Additionally, the impending implementation of the Crypto-Asset Reporting Framework (CARF) of the Organisation for Economic Co-operation and Development (OECD) in 2026 will mandate exhaustive transaction-level tax reporting for service providers, significantly increasing compliance burdens.

The interaction between blockchain business and existing intellectual property (IP) laws has become increasingly harmonised, driven by proactive governmental policy. In his 2025 Policy Address, the Chief Executive unveiled strategic measures to transform Hong Kong into a premier regional IP trading hub, central to which is the IP financing sandbox (see **1.1.2 Regulatory Sandbox**). Within the blockchain sector, this facilitates the on-chain tokenisation of IP rights and the embedding of complex licensing logic directly into smart contracts.

1.1.2 Regulatory Sandbox

Hong Kong operates multiple, highly sophisticated regulatory sandboxes specifically geared towards blockchain-based projects, reflecting a co-ordinated and progressive effort among its primary financial regulators to foster innovation without compromising systemic stability.

SFC Regulatory Sandbox

Launched 19 September 2017, to provide a confined regulatory environment, the SFC expects virtual asset trading platform (VATP) operators to enter this Sandbox and be closely monitored before advanced financial technology is deployed on a fuller scale. The regulator explicitly notes that the Sandbox does not serve as a means to circumvent applicable laws or compromise investor protection requirements.

The HKMA Fintech Supervisory Sandbox (FSS)

Originally launched in September 2016, this environment allows authorised banking institutions and their partnering technology firms to conduct pilot trials of blockchain initiatives with a limited number of participating customers, operating under adapted supervisory requirements. Over the years, the FSS has undergone significant upgrades to expand its utility.

Most recently, the FSS 3.1 Pilot (launched in October 2022 and expanded in November 2024 in collaboration with Cyberport) offers subsidies for projects addressing specific banking industry pain points such as central bank digital currency and interbank account data sharing. As of the end of March 2026, 388 fintech initiatives have been allowed pilot trials within the FSS.

The HKMA Stablecoin Issuer Sandbox

Launched on 12 March 2024, this specialised Sandbox facilitates two-way communication between the central bank of Hong Kong and prospective stablecoin issuers regarding proposed regulatory requirements and operational plans. On 10 April 2026, the HKMA granted the jurisdiction's first historic stablecoin issuer licences to Sandbox participants Anchorpoint Financial and HSBC.

Project Ensemble Sandbox

Co-led by the HKMA and the SFC, this ambitious initiative is designed to build and scale a tokenisation market in Hong Kong, testing the full product cycle from on-chain primary issuance to secondary market trading and hypothecation. In November 2025, the initiative advanced into the Ensemble pilot phase. This phase facilitates the interbank settlement of tokenised deposits and RWAs directly via the local real-time gross settlement (RTGS) system, designed to significantly reduce the settlement delays and counterparty risks inherent in the legacy banking infrastructure.

IP Financing Sandbox

Officially launched on 22 December 2025 by the HKMA in collaboration with the Commerce and Economic Development Bureau (CEDB), this Sandbox specifically targets the technology sector, creating a collaborative, risk-controlled environment that allows innovative enterprises to leverage their intangible IP assets for credit financing, such as patents and copyrights.

The Generative Artificial Intelligence (GenA.I.) Sandbox

Originally launched by the HKMA in collaboration with Cyberport on 13 August 2024 for the banking sector, this Sandbox provided a risk-controlled environment for authorised institutions to test GenA.I. use cases, particularly focusing on risk management, anti-fraud and customer experience. Building on early successes, the initiative was significantly expanded on 5 March 2026, into the "GenA.I. Sandbox++" co-led by the HKMA, the SFC, the IA and the Mandatory Provident Fund Schemes Authority to cover more sectors.

Participants receive targeted supervisory guidance and complimentary access to graphics processing unit (GPU) computing resources at Cyberport's AI Supercomputing Centre to accelerate responsible AI adoption, including exploring strategies to automate quality and risk checks.

1.1.3 Regulation of Blockchain Technology

The general attitude of the government and regulatory authorities towards industries based on blockchain is highly encouraging of institutional, enterprise and sustainable use cases, while simultaneously enforcing zero-tolerance policies against fraud, market manipulation and money laundering risks. The administration employs a dual-policy approach. The SFC's ASPIRe framework (Access, Safeguards, Products, Infrastructure and Relationships), kicking off on 19 February 2025, prioritises compliance, market integrity and the bridging of traditional finance with blockchain infrastructure.

Concurrently, the "LEAP" framework of the Financial Services and the Treasury Bureau (FSTB), introduced in the Policy Statement 2.0 on the Development of Digital Assets in Hong Kong on 26 June 2025, focuses on streamlining legal structures, expanding tokenised products and embedding the Web3 ecosystem into the real economy. The issuance of tokenised traditional assets, enterprise DLT deployment and regulated stablecoin issuance are heavily encouraged. Conversely, unregulated initial coin offerings (ICOs), algorithmic stablecoins marketed to retail investors and the distribution of complex, highly leveraged derivatives to non-professional investors are strictly prohibited.

When blockchain technology is utilised independently of crypto-assets – eg, for enterprise data management, internal bank reconciliation or supply chain tracking – it is regulated under standard technology, outsourcing and data protection frameworks rather than special-

ised financial legislation. The HKMA provides specific guidance to authorised institutions regarding the use of DLT and cloud computing. Regulated firms outsourcing critical functions to blockchain technology-enabled solutions must ensure sufficient emphasis on cyber risk within their governance frameworks. They must holistically identify and assess vulnerabilities and maintain proper contractual agreements that allow for regular audits, penetration testing and effectiveness evaluations throughout the entire third-party management life cycle.

Data privacy presents a distinct challenge. Blockchain immutability conflicts with the data minimisation principle and the "right to be forgotten" of the Personal Data (Privacy) Ordinance (Chapter 486). The Office of the Privacy Commissioner for Personal Data and HKMA therefore prohibit storing personal data directly on-chain. The recommended bifurcated architecture stores cryptographic hashes on the ledger while keeping substantive data in off-chain databases, preserving integrity and auditability while enabling deletion. Separately, the Protection of Critical Infrastructures (Computer Systems) Ordinance (Chapter 653), effective 1 January 2026, mandates cybersecurity governance and incident reporting for designated operators of blockchain infrastructure.

1.1.4 Smart Contracts

Smart contracts are capable of being enforced in Hong Kong, provided they satisfy the fundamental tenets of traditional common law contract formation: offer, acceptance, valid consideration and the mutual intention to create legal relations. However, jurisprudence and regulatory guidance, including input from the technology committee of the Law Society of Hong Kong, indicate that smart contracts are better characterised as automated execution mechanisms. Smart code often lacks the linguistic nuance required to adequately capture complex representations, warranties, force majeure conditions and the full spectrum of equitable duties required in sophisticated commercial transactions.

To ensure enforceability and mitigate operational legal risks, the HKMA's second DLT White Paper (2017) and the March 2025 research paper both recommend that smart contracts be tethered to conventional legal scaffolding. Legal rights typically emerge from separate, legally binding master agreements or terms of service that govern the overarching relationship between the parties. Under the Electronic Transactions Ordinance (Chapter 553), electronic signatures and cryptographic authentications used to execute these contracts hold the exact same validity as traditional wet-ink signatures, provided that the process is demonstrably reliable and the recipient consents to the digital format.

1.1.5 Industry and Trade Bodies

As of the date of publication (11 June 2026), there are no statutory self-regulatory organisations (SROs) endowed with formal enforcement powers representing the blockchain industry in Hong Kong. Formal regulatory and disciplinary authority remains exclusively vested in the SFC and the HKMA.

However, the industry is robustly represented by highly influential trade associations and advocacy groups, most notably the Fintech Association of Hong Kong and the Bitcoin Association of Hong Kong. These organisations serve critical quasi-regulatory and developmental roles. They actively aggregate industry data, formulate consolidated responses to government consultation papers and promote best practices in areas ranging from smart contract auditing to AML compliance. They function as vital conduits between market participants and policymakers, ensuring that the legislative trajectory remains commercially viable and internationally competitive.

1.2 Crypto-Assets

1.2.1 Property Considerations

Crypto-assets are recognised as a form of property under Hong Kong law. This characterisation firmly aligns the jurisdiction's jurisprudence with other major global common law centres. The landmark decision by the Court of First Instance in *Re Gatecoin Limited* (*in liquidation*) [2023] HKCFI 914 established that cryptocurrencies fall within the legal definition of "property" and are therefore fully capable of forming the subject matter of a trust. This pivotal ruling facilitates the valid transfer, bequest and conformity of digital assets to standard corporate insolvency recovery mechanisms. Building upon this, the further decision in *Re Gatecoin Limited* (*in liquidation*) [2025] HKCFI 493 clarified the

distribution of recovered crypto-assets and confirmed the return of constructive trust assets to beneficiaries, emphasising the role of contractual terms in determining insolvency priority.

As crypto-assets are recognised as property, the approach to enforcing property rights over them involves adapting established equitable and common law remedies directly to digital frameworks. Courts regularly grant interlocutory proprietary injunctions and freezing orders over cryptocurrencies. In a groundbreaking technological and judicial development, the High Court in *Worldwide A-Plus Investments Ltd v A-Plus Meta Technology Ltd* [HCA 2417/2024] granted leave to mint first blockchain-native tokenised injunction order globally. The court deployed a freezing order directly onto the Tron blockchain to restrict suspect wallets. This demonstrates that while the fundamental property rights are identical to those of tangible assets, the enforcement mechanisms are evolving to leverage the unique transparency and programmable nature of the technology itself.

Transfer in Ownership

The transfer in ownership of crypto-assets is determined primarily by the functional control evidenced by the exclusive possession of a private cryptographic key associated with that specific asset. The execution of a digital signature authorising a transfer, followed by the network's verification and recording of that transaction on the distributed ledger, updates the definitive legal ownership status.

Custodial Standards

To support the influx of institutional digital assets and the impending launch of HKD stablecoins, the HKMA issued the "Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets by Authorized Institutions" (AIs) on 27 May 2026. The standards demand reinforced technical resilience to prevent misappropriation or insolvency contagion.

AIs holding client VAs must store 98% of the client digital assets in cold storage, entirely disconnected from the internet, unless alternative arrangements are exhaustively justified. Cold wallet implementations are explicitly prohibited from incorporating smart contracts on public blockchains, thereby eliminating potential on-chain attack vectors.

Furthermore, the HKMA mandates the elimination of any "single point of failure" in cryptographic key management. AIs must employ key sharding or multi-party computation technology to split private keys among multiple authorised personnel, ensuring no single individual possesses full access. Hardware security modules generating these keys must be vetted, and the devices must be housed in secure, air-gapped vaults strictly within Hong Kong, with offline disaster recovery backups subjected to identical physical security constraints. For Relevant stablecoins, AIs may delegate custody functions directly to the issuer itself, provided it segregates the assets completely from its proprietary funds.

On a separate note, in "Consultation Conclusions on the Legislative Proposal to Regulate Virtual Asset Advisory Service Providers and Virtual Asset Management Service Providers" (issued on 26 May 2026), the SFC, realising the commercial realities, concluded that private funds will retain the flexibility to appoint qualified custodians globally, maintaining regulatory parity with traditional asset management. Furthermore, VA management service providers are permitted to employ "self-custody" on a limited basis for specific tokens where no qualified custodian exists, provided they implement SFC-prescribed safeguarding mechanisms and have the higher financial resources required for holding client assets.

Collateral Arrangements and VA Financing

There are specific, complex legal and regulatory issues relating to the use of digital assets in collateral arrangements. Establishing a perfected security interest is challenging due to the intangible nature of the assets and the technical nuances of blockchain finality. Furthermore, inherent price volatility requires highly sophisticated valuation methodologies. To integrate margin trading safely into the regulated sector, the SFC issued a seminal circular on 11 February 2026 ("Circular on licensed corporations providing VA dealing services to offer financing for VA dealing and access to shared order book, and to safeguard client VAs relating to withdrawals"), further supplemented by the HKMA's "Guidance on Offering of Financing for

Virtual Asset Dealing, Shared Order Book, and Client Virtual Asset Withdrawals" issued on 27 May 2026, permitting registered institutions (RIs) and licensed VA brokers operating under omnibus accounts to offer VA margin financing to their securities margin clients. Financing is based on the client's financial capability and collateral (securities and/or VA). All existing securities margin financing requirements apply and are extended to VA financing.

To mitigate volatility and systemic risk, this framework mandates that only the most highly liquid digital assets, currently restricted to Bitcoin, Ethereum and specified stablecoins issued by HKMA-licensed stablecoin issuers (relevant stablecoins), are eligible as collateral, with a stringent minimum 60% valuation haircut applicable to Bitcoin and Ethereum.

Brokers must implement real-time collateral monitoring systems and are strictly prohibited from engaging in the rehypothecation of client VA collateral, ensuring assets remain fully available for redemption. With regard to capital treatment, loans solely collateralised by VAs must be treated as clean loans because VA collateral is not recognised under the Banking (Capital) Rules for risk-based capital calculations. RIs must suspend any further advances and halt further VA purchases if the outstanding margin loan balance exceeds the market value of the underlying collateral.

1.2.2 Access to Banking

There are no statutory restrictions prohibiting firms that provide crypto-asset services from partnering with general banking and payment providers in Hong Kong. The HKMA has consistently issued explicit guidance mandating that authorised institutions adopt a risk-based approach rather than enforcing wholesale de-risking policies that categorically deny services to the digital asset sector.

However, obstacles and commercial friction persist regarding access to banking services. These challenges stem predominantly from the exhaustive enhanced due diligence (EDD) required by traditional financial institutions to satisfy internal AML/CFT obligations. Banks must forensically assess the crypto firm's transaction monitoring systems, source of wealth verifications, blockchain analytics tools and regulatory licensing status.

Protracted delays in account opening are common as banks conduct these complex risk assessments. Nevertheless, the rollout of comprehensive licensing regimes has improved institutional banking access for fully compliant, licensed operators.

1.2.3 ESG/Sustainable Finance

ESG and sustainable finance requirements are increasingly applicable to digital assets and the firms that operate them in Hong Kong. The Hong Kong Exchanges and Clearing has implemented sweeping new climate-related reporting requirements based on the International Sustainability Standards Board IFRS S2 standards. Starting 1 January 2026, all large-cap listed issuers are subject to mandatory disclosure requirements regarding climate-related risks and opportunities affecting their business models.

Crucially, all listed issuers are required to disclose their Scope 1 and Scope 2 greenhouse gas emissions on a mandatory basis for financial years commencing on or after 1 January 2025. For publicly listed digital asset firms, or traditional financial institutions with significant proprietary digital asset mining or transaction validation operations, these rules necessitate rigorous reporting on the environmental impact and energy consumption profiles of the specific blockchain consensus mechanisms (such as proof of work) utilised by the assets they hold or process.

Additionally, SFC-authorised investment funds with a stated ESG focus that maintain exposure to VAs must strictly comply with the SFC's "Circular on SFC-authorised funds with exposure to virtual assets" (updated 27 May 2026) and "Circular to management companies of SFC-authorized unit trusts and mutual funds - ESG funds" (issued on 29 June 2021). These funds are required to demonstrate precisely how the incorporation of digital assets aligns with their stated sustainability criteria and are subject to continuous periodic reporting obligations to rigorously prevent greenwashing.

1.2.4 Tax

The tax regime in Hong Kong is undergoing a historic, structural update to comprehensively address the proliferation of digital assets. Historically, the Inland Revenue Department (IRD) has relied on the territorial tax principle outlined in Departmental Interpretation and Practice Notes No 39 (DIPN 39), issued 27 March 2020. This framework determines taxation based on the "badges of trade", assessing whether the assets are held for long-term investment (generating capital gains, which are generally non-taxable in Hong Kong) or active trading (subjecting the gains to profits tax).

However, the most significant update is the implementation of the OECD's CARF alongside sweeping amendments to the Common Reporting Standard (CRS 2.0). Following a public consultation (launched by Consultation Paper on the Implementation of the Crypto-Asset Reporting Framework and Amendments to the Common Reporting Standard in Hong Kong, December 2025) that concluded in February 2026, the government is completing the necessary legislative amendments to the Inland Revenue Ordinance (Chapter 112) within the 2026 calendar year.

This framework compels reporting crypto-asset service providers, including brokers, exchanges and operators of crypto automated teller machines (ATMs), to conduct rigorous due diligence, register on the central CARF Portal, and execute transaction-level reporting on the exchanges and transfers of covered crypto-assets. The rules will become active for data collection starting 1 January 2027, with the IRD commencing international information exchanges in 2028.

The most significant tax uncertainties currently revolve around the granular application of the new CARF rules to highly complex, decentralised protocols, and the tax treatment of novel tokenomics structures such as staking yields, airdrops and decentralised finance (DeFi) liquidity mining, which are not explicitly detailed in legacy guidance like DIPN 39. Concurrently, the 2026–27 Budget introduced proposals to formally expand the scope of tax concessions for investment funds and family offices to classify digital assets as qualifying investments, a strategic move aimed at attracting sophisticated wealth management capital to the jurisdiction.

1.2.5 Insolvency

Hong Kong approaches the winding-up and insolvency of blockchain-based businesses through a sophisticated combination of traditional corporate insolvency law and highly specialised resolution regimes for entities posing macroeconomic risks. Under the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Chapter 32) (CWUMPO), crypto-asset firms are liquidated similarly to regular corporations. Following the binding precedent set in *Re Gatecoin Limited* (*in liquidation*) [2025] HKCFI 493, customer VAs held on trust by an exchange do not form part of the general estate available to unsecured creditors, provided the terms of service explicitly establish a valid, legally recognisable trust structure. However, if the assets are commingled or the terms grant the exchange ownership in its own right, users are relegated to the status of unsecured creditors facing significant losses. To protect clients from this outcome, SFC-licensed VATPs are mandated to implement strict asset segregation, utilise cold storage heavily and maintain specific liquid capital buffers.

For digital asset firms carrying systemic macroeconomic weight, Hong Kong deploys a bespoke resolution regime governed by the Financial Institutions (Resolution) Ordinance (Chapter 628) (FIRO). With the full enactment of the Stablecoins Ordinance (Chapter 656) from August 2025, the HKMA is explicitly empowered to designate specific FRS issuers as systemic entities based on aggregate transaction volume and integration into the domestic payment ecosystem.

If a systemic stablecoin issuer faces non-viability or catastrophic failure, the HKMA can legally bypass standard, protracted court-led liquidation procedures. The central bank can invoke FIRO to assume direct operational control of the entity, enforce bail-in mechanisms, execute wind-down plans or orchestrate the compulsory transfer of reserve assets to a government-managed bridge institution. This extraordinary power ensures the continuity of critical financial infrastructure and actively prevents contagion.

1.2.6 Industry and Trade Bodies

As detailed in **1.1.5 Industry and Trade Bodies**, there are no statutory SROs representing the crypto-asset industry. The sector relies heavily on prominent trade

associations, such as the Fintech Association of Hong Kong and the Bitcoin Association of Hong Kong.

2. Regulation

2.1 Regulators and International Alignment

The primary regulatory bodies overseeing the blockchain and crypto-asset sectors in Hong Kong are the SFC and the HKMA. The SFC acts as the principal conduct and prudential regulator for the securities and futures markets. Its jurisdiction covers VATPs, VA fund managers and intermediaries dealing in or advising on crypto-assets. The SFC's supervisory approach emphasises robust investor protection, strict capital adequacy, comprehensive risk management and the aggressive prevention of market abuse, enforcing these mandates through rigorous licensing gateways and ongoing monitoring.

The HKMA serves as the central banking institution and prudential supervisor for authorised institutions. Its jurisdiction extends to the regulation of payment systems and FRS issuers under the Stablecoins Ordinance. The HKMA focuses intensely on preserving financial stability, dictating stringent reserve backing requirements and managing systemic macroeconomic risks associated with digital money. Additional relevant bodies include the Companies Registry, which administers Trust or Company Service Provider licences required for VA custodians, and the Customs and Excise Department, which oversees elements of AML/CFT enforcement.

Regulators in Hong Kong have actively sought to align with and lead international regulatory approaches. The comprehensive AML/CFT framework for VAs was meticulously designed to achieve full compliance with the standards set by the Financial Action Task Force (FATF), including strict implementation of the Travel Rule for VATPs. The SFC's expanded market abuse and investor protection frameworks draw heavily upon the policy recommendations formulated by the International Organization of Securities Commissions. Concurrently, the HKMA's regulatory architecture for stablecoins directly reflects the prudential standards proposed by the Bank for International Settlements regarding the treatment of digital money and the mitigation of bank-run risks.

On 5 June 2026, the HKMA and the SFC issued "joint consultation conclusions on proposed amendments to the Clearing Rules for over-the-counter derivative transactions". Effective 1 March 2027, the standardisation of calculation periods increases operational certainty for mandatory clearing obligations, allowing institutional market participants trading complex financial instruments and hedging digital asset exposures to conduct more effective internal planning in alignment with global regulatory cycles.

Simultaneously, the regulatory posture regarding cross-border compliance has intensified. On 22 May 2026, the SFC issued "Circular to licensed corporations on Expected controls for account opening and maintaining relationships with clients" following a comprehensive review of account opening practices at 12 licensed securities brokers, executed in direct co-ordination with the China Securities Regulatory Commission. The sweep identified critical systemic deficiencies in cross-border onboarding controls, particularly the acceptance of questionable or forged documents for the opening of investment accounts by mainland Chinese investors.

2.2 Crypto-Asset Regulatory Frameworks

Crypto-assets are characterised and classified by regulators primarily based on their economic substance and functional utility, employing a rigorous "substance over form" methodology. The principal classifications include:

- security tokens (digital assets exhibiting characteristics of traditional securities, such as equity, debt or investment contracts);
- utility tokens (assets providing access to specific products or services);
- exchange tokens (cryptocurrencies intended primarily as mediums of exchange, like Bitcoin);
- stablecoins (assets pegged to fiat currencies); and
- non-fungible tokens (NFTs) (only those structured as collective investment schemes or with investment features).

Crypto-assets are subject to a dual regulatory approach. While they interface with existing regulatory frameworks – eg, the Securities and Futures Ordinance (Chapter 571) (SFO) – when a token qualifies as a security, there are also specific, purpose-built statutory frameworks for native crypto-assets. The AMLO establishes a bespoke licensing regime for non-security VAs. Centralised VATPs must be licensed under both the SFO and the AMLO to ensure comprehensive oversight, regardless of how an asset's classification may fluidly evolve over time. Additionally, the Stablecoins Ordinance (Chapter 656) provides a dedicated framework exclusively for stablecoin issuers.

Regulated activities in crypto-assets encompass operating a centralised trading platform, dealing in VAs, managing VA portfolios, providing VA advisory services, providing VA custody services and issuing an FRS.

Prohibited activities include the issuance or public offering of algorithmic stablecoins by unregulated entities. Crucially, the jurisdiction maintains a rigid distinction between retail and professional markets. Licensed VATPs may offer highly liquid, large-market-capitalisation spot assets to retail investors, subject to rigorous suitability assessments. However, complex products and highly leveraged instruments are strictly prohibited for retail distribution. Under the paper of policy statement regarding perpetual contracts (Perps) finalised on 11 February 2026, licensed VATPs are permitted to offer VA perpetual contracts, leveraged derivative instruments without expiry dates, but the offering of these specific products is exclusively restricted to Professional Investors.

The regulatory landscape is going to be expanding significantly in the next 12 months. A monumental expansion of the regulatory framework was finalised on 26 May 2026, with the issuance of the "Consultation Conclusions on the Legislative Proposal to Regulate Virtual Asset Advisory Service Providers and Virtual Asset Management Service Providers" by the FSTB and the SFC. Adhering strictly to the "same business, same risks, same rules" principle, the conclusions establish comprehensive mandatory licensing regimes for VA advisory and VA management under the AMLO. These new regulations will explicitly cover OTC VA dealing services, VA custodian services, VA advisory services and VA portfolio management, ensuring the entire digital asset value chain is brought within the formal regulatory perimeter.

2.3 Regulated Firms and Legal Wrappers

The regulatory classification of the underlying asset does not change solely because of the utilisation of a legal wrapper, such as an investment fund. The SFC strictly applies the "same business, same risks, same rules" principle. Utilising a fund structure shifts the primary compliance burden from the direct investor to the fund manager and the intermediaries distributing the interests of the fund, but it does not bypass the regulatory perimeter.

For SFC-authorised funds intending to offer public exposure to virtual assets exceeding 10% of their net asset value (NAV), the SFC revised "Circular on SFC-authorised funds with exposure to virtual assets" on 27 May 2026. Under the updated framework, SFC-authorised VA Funds may only invest directly in spot VA tokens that are accessible to the Hong Kong public for trading on SFC-licensed VATPs. Alternatively, they may acquire indirect exposure through futures traded strictly on conventional, regulated futures exchanges, provided the management company can demonstrate adequate liquidity and manageable roll costs. The regulations explicitly prohibit leveraged exposure to VA at the fund level.

Transactions and acquisitions of spot VA by these funds must be routed exclusively through SFC-licensed VATPs or AIs. For in-kind subscriptions of spot VA ETFs, participating dealers (PDs) must transfer the spot VA directly to the ETF's designated custody accounts held with these regulated entities. For the valuation of spot VA, management companies are mandated to adopt an indexing approach based on VA trade volume across major trading platforms, ensuring the fund's pricing mechanism reflects a significant, manipulation-resistant share of global trading activities.

2.4 Token Issuance

Hong Kong accommodates a highly viable, institutional-grade crypto-asset issuance and token generation

event industry, though it firmly rejects the unregulated ICO models prevalent in earlier market cycles.

Launching a crypto-asset or admitting one for trading on a licensed VATP requires navigating stringent token admission criteria established by the SFC June 2023 Guidelines for Virtual Asset Trading Platform Operators, which mandate the creation of an independent token admission and review committee comprising senior management members principally responsible for the platform's key business lines, compliance, risk management and information technology functions, to assess the smart contract security and regulatory status of the token.

To foster market dynamism, regulatory friction has been strategically removed for specific asset classes. Pursuant to the SFC's "Circular on provision of Relevant Stablecoin service by virtual asset trading platforms and licensed corporations" issued on 27 May 2026, the previously mandated 12-month track record requirement for admitting a VA for retail trading has been entirely waived for relevant stablecoins and VA offered exclusively to professional investors, facilitating rapid institutional deployment.

When selling a crypto-asset into Hong Kong, disclosure requirements vary based on the classification of such crypto-asset. If the token constitutes a "security", traditional prospectus and white paper disclosure requirements under the CWUMPO and the SFO apply in full force, absent a valid private placement exemption. For non-security tokens listed on VATPs, operators must ensure that comprehensive risk disclosure statements are prominently featured, detailing the project's background, smart contract audit results, underlying tokenomics and the specific volatility and liquidity risks associated with the asset.

2.5 Market Abuse

Hong Kong maintains a robust statutory framework countering market abuse and insider trading under the SFO, which the SFC actively enforces. Prohibited behaviours include insider dealing, false trading, price rigging, stock market manipulation and the disclosure of false or misleading information inducing transactions.

The market abuse framework applied to crypto-assets shares foundational principles with traditional securities but differs materially in its practical application and technical surveillance requirements, as outlined in the SFC's 11 February 2026 paper of policy statement regarding Perps ("A high-level framework for virtual asset perpetual contracts offering by virtual asset trading platforms").

In traditional equities, insider information typically revolves around unreleased corporate earnings, executive changes, or pending mergers and acquisitions. Insider information in the crypto market, however, encompasses undisclosed knowledge of impending smart contract upgrades, hard fork events, undetected protocol vulnerabilities or co-ordinated shifts in decentralised liquidity pool architectures. Furthermore, manipulation tactics in the digital asset space are highly specialised. The SFC mandates that licensed VATPs implement market surveillance systems designed to detect patterns unique to crypto derivatives, such as material deviations between an asset's underlying index price and its mark price, abnormal funding rate manipulations, wash trading across fragmented blockchain networks and artificially triggered clusters of forced liquidations.

2.6 Non-Compliance

Firms that fail to comply with regulatory requirements face severe enforcement actions, as Hong Kong regulators enforce the rules with aggressive zero-tolerance policies towards fraud and unauthorised operations. Providing VA services without the requisite SFC or HKMA licences constitutes a criminal offence. Penalties include fines of up to HKD5 million and imprisonment for seven years, with continuing offences subject to recurring daily fines. Fraudulently or recklessly inducing others to invest in VAs carries maximum penalties of HKD10 million and ten years' imprisonment under the AMLO.

Notable enforcement actions underscore this posture. The SFC has consistently issued public warnings and initiated investigations against major unlicensed entities, resulting in criminal referrals to the Hong Kong Police Force. In the high-profile JPEX cryptocurrency exchange fraud case, where losses exceeded USD200 million, authorities arrested numerous influencers and

operators on charges of conspiracy to defraud; criminal proceedings have advanced into 2026. The Market Misconduct Tribunal also actively pursues disqualification and compensation orders against directors failing to maintain internal controls or co-operate with investigations.

Regulators pursue cross-border breaches with equal vigour. The SFC routinely co-ordinates with overseas regulators and obtains worldwide freezing orders and injunctions to secure assets belonging to suspected market manipulators domiciled offshore.

The attitude of regulators is expected to remain bifurcated over the next 12 months. While enforcement against unlicensed, fraudulent or non-compliant actors are expected to only intensify, regulators are simultaneously rewarding fully compliant, licensed firms with unprecedented market access.

3. Licensing and Set-Up Requirements

3.1 Licensing Requirements

The primary trigger for requiring a licence to operate a blockchain or crypto-asset business in Hong Kong is "carrying on a business" in a "regulated activity" or "actively marketing" such services to the public in Hong Kong (governed by Section 115 of the SFO and Section 53ZRB of the AMLO). Currently, operating a VATP or issuing an FRS can trigger mandatory licensing. The expansive 2026 proposed amendments to the AMLO introduce new triggers covering any person who, in the course of business:

- provides OTC VA dealing (VA dealing service provider);
- safekeeps private keys (VA custody service provider);
- provides advice regarding the acquisition or disposal of VAs, including the provision of "trading signals", copy trading strategies and algorithms that generate specific VA advice (VA advisory service provider, mirroring the SFO Type 4); or
- exercises discretionary power to manage VA portfolios (VA management service provider, mirroring the SFO Type 9).

Moreover, the previous 10% de minimis threshold is abolished – intermediaries currently managing portfolios with VA exposure below the threshold must now obtain a full VA management licence. As with the SFO, exemptions exist for advice provided through generally available publications and advice/management provided exclusively to wholly owned group companies.

A corporation dually licensed for regulated activities under both the SFO and the new AMLO regimes will not be subject to double regulatory capital requirements; rather, it will be subject to the highest regulatory capital requirement imposed among the specific activities for which it is licensed.

A draft bill to implement these changes under the AMLO is expected to be introduced to the Legislative Council at a later stage in 2026.

There are also strict territorial limits. A licence obtained from the SFC or the HKMA grants the right to operate only within Hong Kong. However, the regulatory perimeter has significant extraterritorial reach. An entity located entirely outside of Hong Kong is nevertheless required to obtain a local licence if it "actively markets" its VA services to the Hong Kong public, or if it issues a stablecoin that references the Hong Kong dollar, regardless of where the entity is domiciled.

When new licensing requirements are introduced, regulators typically implement grandfathering or transitional provisions to prevent market disruption for established players. For example, under the Stablecoins Ordinance, pre-existing issuers were granted a transitional period allowing continued operations provided they submitted a complete licence application to the HKMA by a specified deadline. However, the proposals for VA advisory and management notably lack broad transitional arrangements, requiring market participants to engage early with the SFC to ensure continuous compliance.

3.2 Set-Up Requirements

Obtaining a licence in Hong Kong requires navigating a rigorous, multi-layered application process designed to ensure institutional-grade operational resilience. The core requirement is the "fit and proper" test, which evaluates the financial status, educational

qualifications, industry experience and character of the applicant corporation, its ultimate beneficial owners and its executive management.

Applicants must possess significant corporate substance, maintaining a permanent physical place of business locally and appoint at least two responsible officers physically available in Hong Kong to directly supervise the regulated activities.

For VA advisory and management service providers that hold client assets, the minimum paid-up share capital will be HKD5 million and the minimum liquid capital will be HKD3 million. For those who do not, the only threshold would be a minimum liquid capital of HKD100,000.

3.3 Change of Control

Hong Kong enforces stringent change-of-control requirements to prevent bad actors from bypassing the rigorous licensing gateway through corporate acquisitions. Under Section 132 of the SFO (and the parallel AMLO provisions), for any licensed VATP or regulated VA service provider, the SFC must be notified in writing and grant prior approval before any person becomes a "substantial shareholder" (typically defined as holding 10% or more of the voting rights or issued shares) or an ultimate owner of the entity.

The acquiring entities, new corporate controllers and any newly appointed directors are subjected to the exact same exhaustive fit and proper assessments as the original licence applicants. The SFC also requires detailed notifications within seven business days regarding significant changes in the capital structure, ultimate beneficial ownership, scope of business activities or material alterations to the firm's internal controls and business plans. If corporate authority is found to be lacking or circumvented during material changes, courts have demonstrated a willingness to nullify agreements entirely, as seen in the recent LT v RV [2026] HKCFI 1280 decision, where a crypto-arbitration settlement agreement was declared void because the signatory director lacked the authority required by a court-approved scheme of arrangement.

3.4 Passporting

Hong Kong does not participate in any regulatory passporting regimes for financial, securities or digital asset licences. The framework is strictly localised. A licence obtained from the SFC or the HKMA cannot be passported into other jurisdictions, and foreign entities holding equivalent licences from sophisticated overseas regulators (such as the UK Financial Conduct Authority or the Monetary Authority of Singapore) cannot passport those permissions into Hong Kong. They must establish local corporate substance, meet all capital thresholds and undergo the full, independent domestic application process to service the Hong Kong market.

4. Cross-Border Services

4.1 Marketing

Selling blockchain and crypto-asset services cross-border into Hong Kong is subject to severe restrictions. Under both the SFO and the AMLO, it is a criminal offence for unlicensed offshore entities to "actively market" regulated digital asset services or unauthorised investment products to the Hong Kong public. The SFC's FAQ on this defines the term broadly, encompassing internet activities targeting Hong Kong investors, mass media campaigns and frequently calling on Hong Kong residents.

Permitted marketing by licensed entities is governed by strict advertising standards. Communications must be fair, not misleading and must prominently feature comprehensive risk disclosure statements explaining the volatility, liquidity constraints and cybersecurity risks inherent to the digital assets being offered. Complex products, including overseas non-derivative VA exchange-traded funds, face strict selling restrictions and may only be offered to professional investors following a rigorous assessment of the client's derivative knowledge.

Firms can theoretically rely on the exemption of "reverse solicitation", where a Hong Kong resident independently approaches an unlicensed overseas firm for services entirely of their own volition, without any prior marketing, inducement or advertising by that firm. However, this exemption is construed incred-

ibly narrowly by the SFC. Overseas platforms cannot systematically rely on it to build a local client base. Regulators actively investigate platforms attempting to disguise targeted marketing algorithms as reverse solicitation, and firms must maintain meticulous forensic records proving the client initiated the relationship autonomously.

4.2 White Labelling

External firms and traditional financial institutions can utilise white-label solutions to sell into Hong Kong by leveraging the complex regulatory licences and trading infrastructure of already-existing, SFC-licensed entities. Institutional liquidity providers and licensed VATPs actively offer API-driven brokerage and custody modules. This architecture enables domestic banks and intermediaries to offer crypto services to their retail clients under their own branding, while the licensed VATP partner executes the transactions and manages the technical custody and regulatory compliance on the back end.

Furthermore, the SFC and the HKMA significantly enhanced these capabilities through four major developments.

- The "Circular on shared liquidity by VA trading platforms", issued on 3 November 2025, permitted licensed VATP operators to integrate their order books with affiliated overseas VATPs through a shared liquidity pool.
- Building on this, the "Circular on licensed corporations providing virtual asset dealing services to offer financing for virtual asset dealing and access to shared order book, and to safeguard client virtual assets relating to withdrawals", issued on 11 February 2026, permitted licensed VA brokers operating omnibus accounts to tap into these shared order books.
- Backed by the SFC and the HKMA's "Supplemental joint circular on intermediaries' virtual asset-related activities" issued on 30 September 2025 and "Joint circular on intermediaries' virtual asset-related activities" issued on 22 December 2023, licensed VA brokers operating omnibus accounts are explicitly permitted to partner with SFC-licensed VATPs that are subject to a professional investor-only (PIO) licensing condition. While a VATP with a PIO condition cannot serve retail clients directly, a licensed VA broker acting as an intermediary can route retail client orders to this PIO VATP, provided the intermediary ensures that the specific VAs being traded have successfully passed the VATP's rigorous token admission and review processes for retail trading.
- Pursuant to the "Guidance on Offering of Financing for Virtual Asset Dealing, Shared Order Book, and Client Virtual Asset Withdrawals" and the "Circular on virtual asset-related activities in relation to relevant stablecoins issued by licensed stablecoin issuers" issued by the HKMA on 27 May 2026, RIs providing VA dealing services are expected to enjoy the same accommodative policy as licensed VA brokers.

This effectively democratises access to deeper institutional liquidity pools, allowing local banks and brokers to offer white-labelled or omnibus crypto-dealing services backed by the sophisticated execution engines of global VATP affiliates.

5. Decentralised Finance

5.1 Ability to Use DeFi

DeFi

DeFi is conceptually permitted in Hong Kong, as the regulatory framework is fundamentally technology-neutral. However, it is not exempt from rigorous oversight. The SFC applies the principle of "same business, same risks, same rules". If a DeFi activity structurally mirrors a traditional financial service regulated under the SFO, it falls entirely within the SFC's regulatory purview.

Centralised Finance (CeFi)

CeFi firms and licensed intermediaries are permitted to utilise DeFi protocols in connection with providing products within the jurisdiction, provided they satisfy stringent risk management obligations. Following the "Circular on staking services provided by virtual asset trading platforms" (issued on 7 April 2025) and the "Circular on SFC-authorised funds with exposure to virtual assets" (updated on 27 May 2026), licensed VATPs and authorised VA funds must obtain the SFC's prior written approval before engaging in DeFi inter-

actions, such as staking services or yield-generation protocols. They must address profound concerns regarding smart contract vulnerabilities, liquidity risks and the effective safeguarding of staked client assets. Consequently, authorised funds are generally restricted to staking their VA holdings only through licensed VATPs and authorised institutions, subject to strict concentration caps.

5.2 DeFi Structures

The corporate structures commonly used to operate DeFi globally, such as decentralised autonomous organisations (DAOs), face significant legal friction in Hong Kong due to their lack of recognised legal personality. Operating a pure DAO without a legal wrapper severely complicates contract enforcement, property ownership and the allocation of liability.

To navigate this, participants setting up DeFi structures targeting the jurisdiction typically deploy specialised legal wrappers, such as foundation companies or special purpose vehicles established in offshore jurisdictions. These legal entities hold the IP and interact with centralised service providers. Regardless of the corporate veil, the SFC evaluates the actual operational substance rather than the label of decentralisation.

If a small group of developers retains substantial control over protocol upgrades or administrative keys, regulators will treat the entity as a centralised operator subject to standard substance, capital and licensing requirements. Furthermore, protocols offering liquidity pooling that generate returns are highly likely to be classified as collective investment schemes under the SFO, requiring formal authorisation and prospectus registration.

5.3 Liability

Hong Kong judges and regulators approach the concepts of accountability and liability in DeFi by piercing the veil of decentralisation to identify the actors exercising functional control. The landmark Court of First Instance ruling in *Mantra DAO Inc. v John Patrick Mullin and Others* [2024] HKCFI 2099 set a crucial precedent. Despite the entity operating under a decentralised governance model where token holders ostensibly possessed ultimate decision-making power, the court recognised that the specific individuals acting as "councillors" maintained functional control over the operational legal entities.

The court ruled that these individuals owed explicit fiduciary duties to the token holders, including the obligation to keep proper accounts of the cryptocurrency trading business and to disclose financial records. This decision firmly establishes that developers and councillors cannot utilise a DAO structure to evade traditional fiduciary and legal liabilities if their actions cause financial harm or constitute mismanagement. Similarly, regulators actively pursue enforcement actions against the identifiable administrators of non-compliant DeFi protocols, utilising worldwide freezing orders and tokenised injunctions to trace and seize assets regardless of the protocol's distributed architecture.

6. Payments and Stablecoins

6.1 Payments

Payments in crypto-assets are technically permitted in Hong Kong, but they are not recognised as legal tender for fiat currency. The FSTB and the HKMA have consistently maintained that highly volatile cryptocurrencies, such as Bitcoin, lack the reliability necessary to perform standard monetary functions. Businesses are free to accept them for commercial transactions, but they do so entirely at their own risk.

The courts will not treat debts denominated in VAs as standard fiat debts, placing the full burden of managing the associated foreign exchange, taxation and AML/CFT compliance risks directly on the accepting merchants. Conversely, the government actively supports the use of regulated stablecoins and tokenised commercial bank deposits to address pain points in cross-border settlements and payment efficiencies.

6.2 Stablecoins

6.2.1 Fiat Currency and Algorithmic Stablecoins

Hong Kong law enforces a rigid and statutory distinction between fiat-backed stablecoins and algorithmic stablecoins. FRS are defined as digital representations of value that purport to maintain a stable value with reference to one or more official fiat currencies.

Algorithmic stablecoins utilise complex smart contract algorithms and incentive mechanisms to maintain their peg through dynamic expansion and contraction of token supply, without relying on fully backed physical reserves.

Due to their inherent susceptibility to death spirals and bank-run risks, algorithmic stablecoins do not qualify for issuance under the licensing regime, effectively excluding them from the regulated local payment ecosystem.

6.2.2 Stablecoin Regulation

Fiat-backed stablecoins are heavily regulated in Hong Kong. Rather than retrofitting stablecoins into the pre-existing Payment Systems and Stored Value Facilities Ordinance, the government enacted a bespoke, purpose-built framework, the Stablecoins Ordinance, which became fully operational on 1 August 2025.

This bespoke framework establishes a comprehensive licensing regime administered exclusively by the HKMA. It captures any person issuing an FRS in Hong Kong, issuing an HKD-referenced stablecoin anywhere globally or actively marketing an FRS to the Hong Kong public.

The framework is significantly more stringent than legacy payment regulations, as it imposes rigorous capital requirements, continuous reporting obligations and strict limits on the types of institutions permitted to distribute the assets. Legally, only permitted offerors, namely licensed stablecoin issuers, authorised banking institutions, SFC-licensed VATPs and licensed securities brokers, are allowed to offer specified stablecoins to the retail public in Hong Kong.

Recognising that FRS issued by HKMA-licensed entities pose fundamentally different risk profiles compared to speculative crypto-assets, the SFC issued "Circular on provision of Relevant Stablecoin service by virtual asset trading platforms and licensed corporations" on 27 May 2026, carving out a highly preferential regulatory pathway for these assets compared to other VAs. The HKMA issued a circular on "Virtual asset-related activities in relation to relevant stablecoins issued by licensed stablecoin issuers" on the very same day to back the SFC's position. While VAs, classified as complex products requiring exhaustive risk warnings, must meet a 12-month track record before VATP listing, undergo mandatory client knowledge assessments, and satisfy liquidity and dual index-inclusion requirements, relevant stablecoins are treated as non-complex products subject only to standard warning statements and are exempt from these obligations.

An operational shortcut is also created towards the licensing regime. Relevant stablecoin-only dealing services are not restricted to RIs registered for Type 1 activity, nor limited to Type 1 clients. An RI managing portfolios that include only relevant stablecoins (and no other VAs) does not need Type 9 registration, even if it would otherwise require one. RIs providing relevant stablecoin-only advisory services are also not restricted by the narrow Type 1 and Type 4 client scope.

While heavily streamlined, intermediaries providing advisory or dealing services in relevant stablecoins must still fulfil core suitability obligations, particularly considering the client's specific objective or "use case" for the stablecoin, and must transparently disclose material information regarding the stabilisation mechanism and redemption arrangements.

6.2.3 Backing Assets

Targeting to significantly mitigate the risk of insolvency and systemic runs, the HKMA imposes exacting requirements on backing assets for fiat-backed stablecoins. Licensed issuers must maintain eligible, highly liquid reserve assets whose value equals or exceeds the par value of the stablecoins in circulation at all times. The composition of these reserves is strictly limited to high-quality assets, predominantly fiat currency deposits and short-term sovereign debt denominated in the exact referenced currency.

These backing assets must be fully segregated from the issuer's proprietary funds and held in bankruptcy-remote structures. The HKMA strongly mandates that a licensed bank in Hong Kong acts as the primary custodian of these reserve assets to ensure immediate accessibility. Furthermore, to ensure the stablecoin functions strictly as a medium of exchange rather than a yield-bearing collective investment scheme, Section

15 of Schedule 2 to the Stablecoins Ordinance heavily restricts the ability of the issuer to pay interest or yield derived from the reserve assets directly to the stablecoin holders.

6.2.4 Special Considerations

Stablecoin arrangements that achieve massive public adoption may pose unique macroeconomic threats to the jurisdiction. To address this, the HKMA is granted extraordinary statutory power under the Stablecoins Ordinance to designate specific stablecoin networks as carrying "systemic risk". This designation is based on factors such as aggregate transaction volume, the number of users and the stablecoin's level of integration into the broader domestic payment and settlement ecosystem.

Systemic stablecoin issuers are subject to thorough regulatory oversight, most notably exemplified by their inclusion under the FIRO (Chapter 628). By bringing systemic stablecoins under the FIRO, the HKMA ensures that if a major issuer faces catastrophic failure, the central bank can legally bypass traditional, protracted insolvency proceedings. The HKMA can assume direct operational control of the entity, enforce wind-down plans, execute bail-in mechanisms or execute stabilisation options – eg, transferring the reserve assets and critical operations to a government-managed bridge institution – to immediately halt financial contagion and preserve the stability of broader Hong Kong financial markets.

7. Tokenisation and Real-World Assets

7.1 Treatment

In Hong Kong, tokenised assets and RWAs are regulated using a strict look-through approach, comparing them directly with their non-blockchain equivalents. The SFC defines tokenised securities as traditional financial instruments (such as stocks, bonds or mutual fund units) that utilise DLT. The regulatory philosophy is that the utilisation of a blockchain wrapper does not fundamentally alter the economic substance or legal rights attached to the asset.

Consequently, tokenised securities are expressly excluded from the definition of VAs under the AMLO and are instead fully governed by the traditional SFO. Issuers of tokenised RWAs like tokenised real estate funds or fractionalised equity must comply with the exact same prospectus requirements, continuous financial disclosures and professional investor restrictions as traditional securities issuers. Intermediaries distributing or advising on tokenised RWAs must hold the corresponding Type 1 (Dealing) or Type 4 (Advising) securities licences.

However, the SFC does impose additional requirements specific to the technological medium. Managers and distributors of tokenised assets must conduct rigorous technical due diligence on the underlying smart contracts, assess the cybersecurity resilience of the chosen blockchain network, and implement robust private key management and contingency protocols that go beyond standard traditional securities operations. This ensures that while the economic regulation remains consistent with traditional markets, the unique technological risks inherent to DLT are effectively mitigated.

Furthermore, expanding on this framework, the SFC issued the "Circular on secondary trading of tokenised SFC-authorised investment products" on 20 April 2026, which sets out the requirements for allowing the secondary market trading of these tokenised products by the retail public in Hong Kong. To ensure market scalability and investor protection, this circular mandates that subscriptions and redemptions must account for liquidity risk management tools and forward pricing considerations. It also introduces the role of "connecting brokers" – entities tasked with directing clients' secondary trading orders to SFC-licensed VATPs – and requires robust contingency plans to manage potential trading halts in the secondary market if primary dealing is suspended.

Trends and Developments

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Cooley is a global law firm with approximately 1,400 lawyers across 19 offices in the United States, Europe and Asia, supported by over 3,000 professionals. The firm partners with clients on transformative deals, complex IP and regulatory matters, and on high-stakes litigation across various sectors, including crypto and blockchain, financial services, new technology, life sciences, healthcare, retail, communications, media and many more. With nearly four decades of experience in Asia, the firm's offices in Beijing, Hong Kong, Shanghai and Singapore support innovative companies and investors across all growth stages, from private fundraisers and licensing to IPOs and M&A. Cooley is a market leader in blockchain and crypto. The lawyers advise some of the earliest Bitcoin companies and continue to represent major players in blockchain and tokenisation. The firm is also a trusted resource for regulators and Congressional staff on legal and policy matters. The collaborative, cross-border approach ensures clients benefit from the full depth of the firm's global capabilities.

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Introduction

Hong Kong has emerged as a leading jurisdiction in developing and adopting blockchain technology. The city's deep-rooted financial services ecosystem, combined with its strategic access to mainland China and the broader Association of Southeast Asian Nations (ASEAN) region, has cemented its status as a global hub for blockchain innovation and digital assets. Through initiatives ranging from blockchain-integrated public services to the introduction of tokenised instruments and stablecoin regulatory frameworks, Hong Kong is actively constructing the legal and technical infrastructure necessary to sustain the sector's long-term growth and evolution.

During the past year, Hong Kong's digital asset market has transitioned from rule-making to rule implementation. The most significant development is the formal regulation of stablecoins as a live, licensed activity (effective 1 August 2025), with the first issuer licences granted in April 2026.

In parallel, the Securities and Futures Commission (SFC) has expanded the permissible scope of activity for licensed virtual asset trading platforms (VATPs) and intermediaries. Under defined conditions, this now includes regulated staking, shared liquidity arrangements, affiliated market making, broker-provided margin-style financing and a framework for perpetual contracts targeted at professional investors.

A third defining trend is the shift of tokenisation from pilot initiatives to real economic use cases. The government's third digital green bond issuance in November 2025 incorporated settlement options using tokenised central bank money (including e-CNY and e-HKD). Meanwhile, the Hong Kong Monetary Authority (HKMA) launched Ensemble (ie, the pilot phase of Project Ensemble) to support real-value tokenised transactions through 2026.

A Market Entering Its Implementation Era

Hong Kong's trajectory during the past year can be understood as both a tightening and widening of the regulatory perimeter. Tightening refers to the introduction of clearer requirements, licensing thresholds and marketing constraints for activities now seen as capable of affecting the broader financial system. Widening reflects regulators' efforts to extend oversight beyond exchanges – particularly into stablecoins, brokerage/dealing activities and custody – while enabling a broader suite of regulated products. This reduces the incentive for market activity to migrate to offshore or unregulated venues.

For market participants, the key implication is that Hong Kong is no longer a "single-regime" jurisdiction centred on exchange licensing. Instead, business models are assessed holistically across the full value chain: issuance, trading, brokerage, custody, product structuring, distribution and tokenised representations of traditional assets.

Stablecoins: From Legislative Milestone to Live Licensing

Hong Kong's stablecoin regime took shape through a clear sequence of legislative and regulatory milestones in 2025. The Stablecoins Bill was passed on 21 May 2025, the Ordinance was gazetted on 30 May 2025 and a Commencement Notice set 1 August 2025 as the date the regime came into force. In the lead-up to commencement, the HKMA published the core implementation framework, including finalised supervisory and AML/CFT guidelines for licensed stablecoin issuers, as well as explanatory notes on licensing and transitional arrangements.

A central design feature of the regime is "retail gating". Only fiat-referenced stablecoins (FRS) issued by licensed issuers may be offered to retail investors, and distribution is restricted to specified institutions. This establishes a tightly controlled pathway for retail participation from the outset.

A particularly business-critical feature is the breadth of the licensing trigger. As clarified by the HKMA in May 2025, a licence is required not only for issuance "in Hong Kong", but also for any FRS that references the Hong Kong dollar, regardless of whether issuance occurs inside or outside of Hong Kong. For international issuers, this creates a classic "targeting" and "currency reference" risk. An offshore issuer may fall within Hong Kong's regulatory perimeter even without a locally incorporated issuing entity. As a result, structuring decisions – such as issuer domicile, reference currency, marketing strategy, distribution partnerships

and intended user base – become as critical as the underlying technology design.

The regime was launched alongside transitional provisions aimed at pre-existing stablecoin issuers. These include time-bound windows governing whether an issuer may continue operations while its licence application is under review, and when a mandatory wind-down process is triggered in the absence of a valid application.

A second, often underappreciated, compliance lever is marketing and advertising. The government made clear that even during any non-contravention period, only advertisements relating to licensed FRS issuance are permitted, as part of broader anti-scam and anti-misleading safeguards. The practical implication is that go-to-market strategies for stablecoins must treat licensing status and marketing compliance as first-order constraints. This extends beyond traditional advertising to include influencer campaigns, referral programmes, token listing announcements and even whitepaper distribution.

On 10 April 2026, the HKMA announced the first stablecoin issuer licences, granted to (i) Anchorpoint Financial, a joint venture involving Standard Chartered Bank (Hong Kong), Hong Kong Telecom (HKT) and Animoca Brands; and (ii) HSBC.

This milestone confirms that the regime is fully operational and conveys a clean strategic message that Hong Kong is positioning stablecoins as part of a regulated financial infrastructure aligned with real-economy and institutional use cases, but not as lightly supervised retail speculation instruments. Just as importantly, it signals the profile of licensees the HKMA is prepared to approve at the initial stage, including participation from major banking institutions. It is not surprising that the first batch of licensees already possess deep KYC and AML knowledge, which is consistent with HKMA's clear expectation that stablecoin issuers must be able to implement AML/CFT systems to comply with relevant legal and regulatory obligations and manage money laundering/terrorist financing risks effectively. The HKMA also disclosed that it received 36 applications in the first batch (by 30 September 2025 deadline) and indicated that, based on licensees' business plans, regulated stablecoins are expected to launch in mid-to-late 2026.

VATP Licensing: A Concentrated Base With an Expanding Scope of Permitted Activities

Hong Kong continues to anchor its regime in the licensing of centralised exchanges operating in, or actively marketing into, the local market. The SFC maintains and publishes the list of licensed VATPs, which, based on current disclosures, includes platforms such as OSL and HashKey Exchange.

Hong Kong's approach to retail participation in virtual asset trading remains deliberately calibrated. Under the VATP Guidelines, retail trading is limited to "eligible large-cap virtual assets", which must, at a minimum, be included in at least two acceptable indices from separate index providers. In practice, this makes token listing as much a compliance exercise as a commercial decision. Listing committees, index eligibility monitoring, disclosure standards and post-listing surveillance become continuous operational requirements. These obligations are particularly relevant in environments of high volatility, token forks or changes in index construction methodologies.

In February 2025, the SFC introduced its "ASPIRe roadmap" covering Access, Safeguards, Products, Infrastructure and Relationships (ASPIRe). More than a policy statement, ASPIRe served as the organising framework for subsequent regulatory guidance, circulars and permissions throughout 2025 and into 2026. Hong Kong is pursuing a regulated expansion pathway, rather than operating a static rulebook. Where a product or activity is explicitly identified under one of the ASPIRe pillars (eg, liquidity access under Pillar A or product diversification under Pillar P), there is a greater likelihood that the SFC will establish a controlled route to market, rather than forcing such activity into offshore or unregulated channels.

Product and Market Structure Expansion

Regulated staking: from prohibition to conditional permission

A major development in 2025 was Hong Kong's shift away from a blanket prohibition on generating returns from client virtual assets towards a regulated pathway for staking. On 7 April 2025, the SFC issued guidance

allowing licensed VATPs to offer staking services, subject to prior written approval and compliance with expected standards covering operational controls, custody safeguards and risk disclosures.

In parallel, the SFC updated its requirements for SFC-authorised funds with virtual asset exposure, enabling participation in staking within defined constraints. These include requirements to stake through licensed VATPs or authorised institutions, alongside caps designed to manage liquidity risk.

The key takeaway from these developments is that staking is now treated as a regulated product feature, rather than a purely technical network function. This framing introduces obligations around suitability, disclosure and operational resilience (ie, the areas familiar to traditional financial institutions, but often underdeveloped in crypto-native operating models).

Broadening VATP products and services: towards tokenised securities distribution

On 3 November 2025, the SFC issued a companion circular expanding the permissible scope of products and services offered by licensed VATPs. This included updates to token admission requirements, as well as clarifications on the distribution of tokenised securities and digital asset-related investment products. It also addressed custody arrangements for certain assets not available for trading on VATPs, which marks an important bridge between crypto market infrastructure and digital securities distribution. It reinforces the trajectory for Hong Kong VATPs to evolve beyond spot crypto venues into regulated distribution channels for tokenised representations of traditional financial products.

Market making, broker financing and a pathway for perps

In February 2026, the SFC introduced a further set of measures aimed at enhancing liquidity and deepening market structure. VATPs may, subject to safeguards, engage affiliated market makers, reflecting regulatory recognition that onshore liquidity has remained relatively shallow and requires active support. Licensed corporations providing virtual asset dealing services under omnibus account structures may now offer financing for virtual asset transactions, participate in shared order books and operate under enhanced requirements where client withdrawals are permitted.

The SFC also introduced a high-level framework for VATPs to propose virtual asset perpetual contracts. This reflects a "controlled innovation" approach: VATPs are invited to submit proposed models, with the framework explicitly designed to evolve alongside market development.

These efforts significantly strengthen Hong Kong's credibility for institutional and sophisticated users, but also raise the compliance bar, particularly in areas such as conflicts management, market surveillance, collateral and margin controls, derivatives suitability assessments and cross-entity governance.

Tokenisation Moves Into "Real-Value" Rails

Government digital green bonds

Hong Kong continues to deploy tokenised bond issuance as a strategic policy tool to normalise tokenisation within capital markets. On 11 November 2025, the government announced the successful pricing of approximately HKD10 billion in multicurrency digital green bonds, which is its third such issuance, following earlier transactions in 2023 and 2024.

Two features distinguish the 2025 iteration. First, the issuance introduced an option to settle HKD and RMB tranches using tokenised central bank money alongside conventional settlement rails. The government described it as the first digital bond offering to integrate tokenised central bank money (specifically e-CNY and e-HKD) into the settlement process. Second, the issuance emphasised interoperability and standardisation. It incorporated digital token identifiers (DTIs) under ISO 24165, linked DTIs to international securities identification numbers (ISINs) and legal entity identifiers (LEIs), and expanded adoption of the International Capital Market Association Bond Data Taxonomy.

Accordingly, tokenisation is being engineered to integrate with existing institutional infrastructure, rather than operating as a standalone blockchain proof of concept.

Project Ensemble

On 13 November 2025, the HKMA launched Ensemble, the pilot phase of Project Ensemble, to support real-value transactions involving tokenised deposits and digital assets within a controlled environment. Ensemble builds upon the successful outcomes of the Ensemble Sandbox experimentation, which since August 2024 has allowed industry pioneers to test comprehensive end-to-end use cases for settling digital asset transactions using experimental tokenised deposits. In the new pilot phase, the HKMA aims to enable faster, more transparent and efficient settlement of real-value tokenised transactions. The initial focus will be on empowering market participants to utilise tokenised deposits in tokenised money market fund transactions and to manage liquidity and treasury needs in real time.

Tokenised Investment Products for Retail

While institutional use cases continue to dominate headlines, Hong Kong has also enabled selected tokenised products to be offered to retail investors within a regulated framework. In a Legislative Council reply in July 2025, the government noted that the SFC had authorised a gold token providing fractional ownership of physical gold in 2024, the first retail-accessible tokenised investment product in Hong Kong. It further stated that, in the first quarter of 2025, the SFC authorised three tokenised money market funds for retail investors (described as the first in the Asia-Pacific region), with total assets under management exceeding USD700 million as of end-March 2025.

These developments build on the SFC's November 2023 circular on the tokenisation of the SFC-authorised investment products, which outlines the conditions under which tokenisation of Part IV authorised products may be permitted. These developments also convey the key signal that tokenisation is evolving into a distribution format, rather than a standalone asset class. As a result, operational considerations (such as recordkeeping, transfer restrictions, custody arrangements and cybersecurity controls) become central to product design and implementation, even where the underlying assets remain traditional.

Expanding the Perimeter Beyond Exchanges

The second policy statement and the "LEAP" framework: towards a unified regime

On 26 June 2025, Hong Kong issued its second policy statement on digital assets, introducing the "LEAP" framework. The statement articulated a clear intent to develop a comprehensive and unified regulatory regime covering exchanges, stablecoin issuers, dealing service providers and custodian service providers. It also highlighted tokenisation priorities, including the regularisation of tokenised government bond issuance and clarification of stamp duty treatment for tokenised exchange-traded funds (ETFs).

For clients, the second policy statement is less a technical rulebook than a directional roadmap. It helps explain the sequencing of developments: first establishing the stablecoin regime, followed by expanding VATP and intermediary capabilities, and then progressing towards dedicated regimes for dealers, custodians and, subsequently, advisory and asset management functions.

Consultation on dealer and custodian licensing regimes

On 27 June 2025, the Financial Services and the Treasury Bureau (FSTB) and the SFC launched a joint public consultation on proposed licensing regimes for virtual asset dealing and custodian service providers, with the consultation period running through 29 August 2025. This consultation addresses two of the most significant regulatory gaps observed in many jurisdictions: (i) non-exchange brokerage and over-the-counter (OTC) dealing activity; and (ii) custody services provided outside exchange environments. It also aligns with the SFC's broader objective of integrating Hong Kong's liquidity with global markets while strengthening investor protection.

Consultation conclusions and 2026 legislative pipeline

On 24 December 2025, the FSTB and the SFC published their consultation conclusions on the proposed regimes for virtual asset dealing and custody, and indicated a target to introduce the relevant legislation into the Legislative Council in 2026. At the same time, regulators initiated further consultation on establishing separate licensing regimes for virtual asset advi-

sory and asset management service providers. The direction of travel is towards a multilayered regulatory architecture that increasingly mirrors traditional financial markets, with distinct regimes for execution venues, intermediaries, advisers/managers and custody. Accordingly, activities previously characterised as "non-exchange" or "purely custodial" are increasingly likely to fall within dedicated licensing categories, accompanied by transitional requirements and enforceable regulatory oversight.

Virtual Asset Exposure Through Regulated Funds and ETFs

Hong Kong's public markets have continued to integrate virtual asset exposure through regulated funds and ETFs. In April 2024, Hong Kong regulators approved spot Bitcoin and Ethereum ETFs, which commenced trading on 30 April 2024, positioning Hong Kong as the first market in Asia to offer spot crypto ETFs for retail investors. In 2025, the SFC updated its circular on SFC-authorised funds with virtual asset exposure. The update sets out the conditions under which funds with more than 10% of net asset value invested in virtual assets may be authorised for public offering and clarifies the scope of permitted virtual asset-related activities.

Looking Ahead: Key Themes to Monitor

First, stablecoins will move from licensing to live deployment. The market is likely to shift from "licences granted" to "regulated stablecoins in active use", with the HKMA indicating that launches are expected between mid-late 2026 based on licensees' business plans. This transition will bring increased focus on real-world use cases, operational resilience and ongoing supervisory expectations.

Second, tokenisation will extend from issuance into settlement infrastructure. Hong Kong is expected to continue advancing tokenisation beyond asset issuance and into core market plumbing. Ensemble is scheduled to run throughout 2026, with a roadmap toward settlement using tokenised central bank money. If realised, this could materially enhance the feasibility of end-to-end tokenised capital market workflows, including atomic settlement and programmable transactions.

Third, the regulatory perimeter is expected to continue to expand. The FSTB and the SFC have signalled a target to introduce legislation in 2026 covering dealer and custodian licensing, alongside further development of advisory and asset management regimes.

In conclusion, Hong Kong's latest wave of policy measures and regulatory implementation during the past year has reinforced its position as one of the most credible and investable digital asset jurisdictions in the region. By pairing an innovation-friendly agenda with clear licensing expectations (particularly around stablecoins, trading platforms and tokenised products), Hong Kong is signalling that growth will be built on trust, market integrity and real-economy utility. Combined with ongoing ecosystem-building and cross-border connectivity, Hong Kong is well-placed to support the next phase of blockchain adoption at institutional scale. As these initiatives progress, the market should see more durable business models, stronger investor confidence and a more resilient foundation for digital finance over the years ahead.

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